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Japan FX

JPY carry: Why has the crash come earlier?

CITI'S TAKE

The interest rate spread and risk-reward balance for the JPY carry trade have not yet met the conditions prevailing in the past when the USDJPY has entered a downtrend. However, intervention to buy the JPY by the Japanese government since 2022 has caused a change in underlying supply/demand and may therefore have accelerated the peak for the USDJPY. In this case, the pair may not return to its high of last month, but instead be vulnerable to increasing downside scope over the passage of time. That the medium- to long-term risk is on the downside is in line with the view we have held for some time. We look for the USDJPY to decline below ¥140/$ in 2025, ¥130/$ in 2026, and ¥120/$ in 2027. We see the recent fall as only the beginning of the end.

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Indications from fall in USDJPY

The USDJPY has dropped sharply over the past four weeks, from almost ¥162/$ to around ¥142/$. We did not expect such a deep correction at this time, but the recent price movement is fundamentally in line with our basically bearish outlook for the USDJPY.

The direct trigger was intervention to buy the JPY conducted by the Japanese government on July 11 and 12 (Figure 1). Many have said that forex intervention is ineffective, but we have consistently backed its efficacy. Forex intervention causes changes in underlying supply/demand that can promote a turnaround in forex market trends even if this takes some time.

The recent movement in the USDJPY suggests this is happening again now. Figure 2 shows the four-week change in the USDJPY. When long-term trend ceilings were formed in 1990 and 1998 there was a sudden drop of more than ¥10/$, as there has been this time as well. Even so, unlike for the EURJPY and the AUDJPY, for the USDJPY this movement has not necessarily coincided with the turning point in the long-term trend. This is something that warrants consideration.

Figure 1. USD/JPY and JPY-buying interventions by the MoF

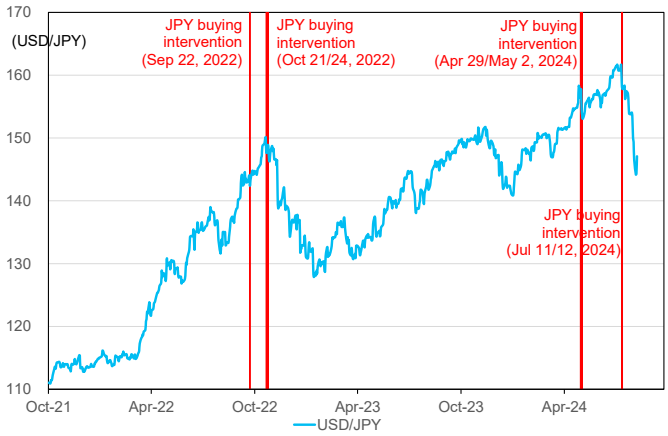

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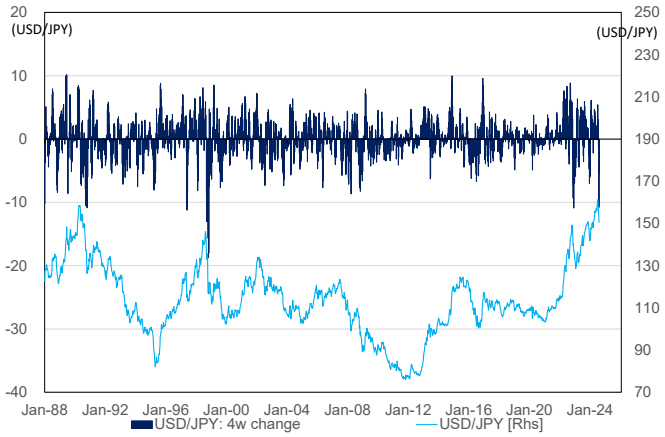
Figure 2. USD/JPY and four-week change



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Correction to overvaluation

Figure 3 shows the estimate for the USDJPY based on the multifactor model we introduced in November last year. The estimate has now fallen to around ¥140/$. The recent correction has reversed a large part of the upward deviation but it has not yet fundamentally been fully rectified. We believe a further valuation correction is unavoidable over the long term.

Figure 4 plots the USDJPY against the US-Japan one-month interest rate spread. In the past, there has tended to be a sustained uptrend in the currency pair once the interest rate spread has widened to more than around 5%, even if there is no further increase beyond that. One important reason will be that the broad short-term interest rate spread promotes the JPY carry trade and consequently means JPY depreciation.

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Figure 3. USD/JPY: Multifactor model estimate

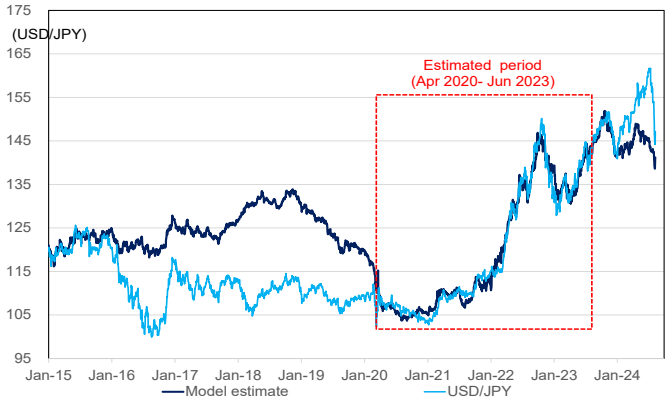

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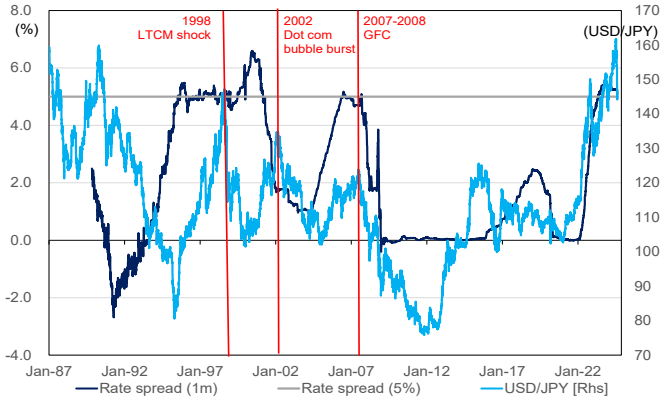
Figure 4. USD/JPY and one-month interest rate spread



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Unwinding of JPY carry

On the other hand, when the interest rate spread falls below around 4.75% the performance of the USDJPY tends to abruptly worsen (Figure 5). This is because the unwinding of JPY carry puts strong upward pressure on the currency. We have for some time been wary of the risk of such unwinding of JPY carry while focusing on this threshold level of the interest rate spread.

Based on the outlook for Fed and BoJ monetary policy we thought that the spread would fall below this threshold in December this year. However, last week's hike by the BoJ and the decline in US interest rates following the weak employment data may have brought this timing forward to around September. Even so, at this point it is a fact that the necessary conditions in the rate spread have not yet been met.

Figure 6 shows the ratio of the three-month interest rate spread divided by three-month implied volatility, and while it is a very simple metric it shows the risk-reward tradeoff for USDJPY carry. As we point out in JPY carry: Have the wings of Icarus melted away? this ratio has recently fallen below 50%, but it is still above the level of 40% or lower at which the USDJPY has in the past peaked and entered a downtrend.

Figure 5. USD/JPY performance (since 1990)

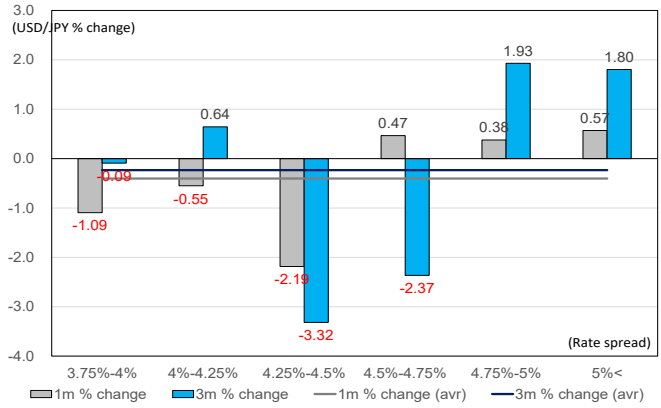

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Figure 6. USD/JPY and three-month carry/vol ratio

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Effects of intervention to buy JPY

Essentially, the interest rate differential and carry/volatility ratio are both yet to meet the conditions that would normally be necessary for the steep fall in the USDJPY that we have already seen this time. Why then has such an actual movement in the exchange rate been occurring? We suspect one reason is the intervention to buy the JPY by the Japanese government since 2022.

Total intervention to buy the JPY between 2022 and last month was nearly ¥25trn (Figure 7). As we discuss above, interventions have been successful in rectifying excessive JPY yen weakness and excessive JPY strength in the past, even while they did not have an immediate effect in causing a turnaround in the established trend for the JPY exchange rate, whether the intervention is to sell or buy the currency (Figure 8). Our understanding is that this is because intervention causes a change in underlying supply/demand and therefore accelerates the timing of the turning point in the trend, while also amplifying the depth of the correction after the turning point.

In fact, the MoF had intervened to buy the JPY directly before the LTCM crisis in 1998, and after peaking at just above ¥147/$ in August the USDJPY plunged to less than ¥110/$ by January 1999 (Figure 3). It then fell further to around ¥101/$ in November 1999, taking the total drop to more than 30%. During this period the Fed lowered its policy rate only to 4.75% from 5.5%, before raising it again to 6.5% in mid-2000.

If our hypothesis is correct, it would not be surprising if the turning point in the trend came early, though the conditions for a turnaround in the long-term uptrend of the USDJPY have not been met in terms of the interest rate spread or the carry/volatility ratio at this point in time, when we can already be confident that these conditions will be met in the near future.

Figure 7. USD/JPY and Japan's FX-interventions

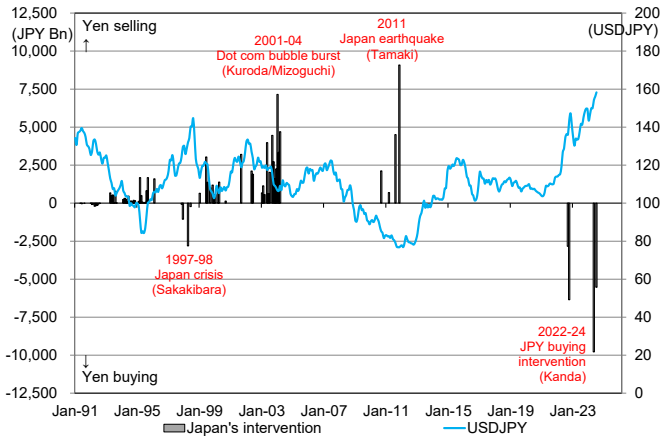

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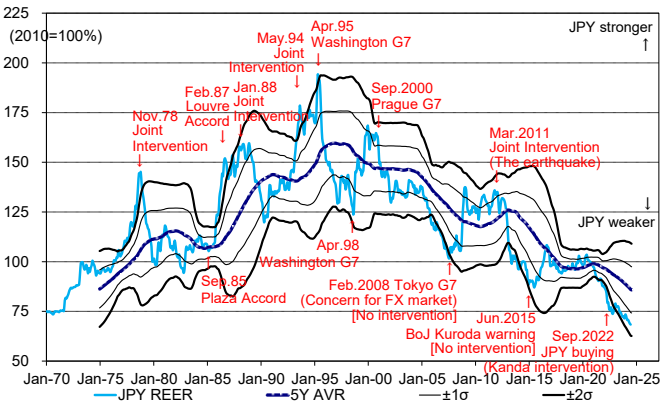
Figure 8. JPY REER (five-year Bollinger band) and FX policies



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Base scenario for rebound in USDJPY

We had previously thought it was too early to call the peak for the USDJPY as the conditions necessary for a turning point in the trend had not been met in terms of the interest rate spread and the carry/volatility ratio. Considering these, however, we now think the possibility that the high last month of just under ¥162/$ could represent the long-term major ceiling has increased.

Even so, the USDJPY has already corrected below the 350-day moving average (now around ¥147/$) that had provided an effective support since last year. We would not be surprised if it rebounded to the 200-day moving average (currently some ¥151.5/$) over a period of two or three weeks. Over several months it may recover to the 100-day line (now about ¥155.5/$).

We believe the USDJPY will form a triangle formation with the 350-day moving average as the support line along with an ongoing tug-of-war between the effects of past JPY-buying intervention and the interest rate spread. However, once the interest rate spread narrows materially towards the end of this year, the USDJPY could well fall below the 350-day line and complete a triangle top formation. After this the pair may correct again by a significant amount. In our view this has become the more likely USDJPY scenario at this point in time.

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